

Manage Your Taxes

OK, I ADMIT that taxes may not be the most exciting subject to read about. But managing them intelligently can have a huge impact on your portfolio and your overall financial well-being. I have seen some amazing errors where people wildly overpaid their taxes. I have also seen sketchy tax decisions that led to big interest and penalties.

With only a bit of planning, you can make sure that your tax bill is as modest as possible. Pay Uncle Sam exactly what he is owed—but follow a few simple steps to make sure that is all he gets.

Tax alpha is real, and it can make a giant difference to your total net after EVERYTHING returns.

We set up a tax practice at RWM because our clients kept asking for it and because my partner Kris Venne insisted that investors needed much more help than they realized. (He was right.) You don't really need us to tell you to keep records and make estimated quarterly payments.^{[417](#)} But you may need some help with the more complicated stuff. You want to work with a tax professional or advisor who is doing forward-looking tax planning. Historically, many tax professionals were data-in and data-out, backward-looking only.

From an investor's perspective, these are the most important things I have learned about taxes.

1. Consult a professional

Your tax situation will be specific to factors like income, assets, the city and state you live in, and other personal circumstances. The very first tax advice I'll give you is to consult a tax professional who can best advise you based on those specifics.

This isn't just boilerplate. Most of us (me included) lack the expertise to